CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
CUSTOMER ENERGY SOLUTIONS PANEL
REBUTTAL TESTIMONY

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
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I. Panel Introduction

Q. Would members of the Customer Energy Solutions Panel (CES Panel or Panel) please state their names?

A. Raghusimha Sudhakara, Gregory Elcock, Britt Reichborn-Kjennerud, Thomas Magee, and Michael Badeski.

Q. Has the Panel previously submitted testimony in this proceeding?

A. Yes. The Panel submitted testimony in the Company's January 2025 filing and the Company's April 2025 Update filing.

Q. What is the purpose of this testimony?

A. We respond to the testimony of other parties regarding the Panel's proposals. In brief, we address:

- Affordable Multifamily Electrification Pilot (Pilot): Department of Public Service Staff (Staff) recommends moving this request to another proceeding;
- Customer Clean Energy Programs (CCEP) Staffing: Staff also recommends moving this request to another proceeding;
- Select Pricing Plan (SPP) Price Guarantee: Parties offer recommendations on the Company's proposal;

- Electric Vehicle (EV) and Heat Pump Rates: Parties made recommendations and proposals;
- Distribution Planning Staffing: Staff recommends removing the Company's request for six full-time equivalents (FTEs) supporting Non-Pipeline Alternatives (NPAs); and
- Earnings Adjustment Mechanisms (EAMs): Parties, including Staff, City of New York (City), and New York Energy Consumers Council (NYECC) propose changes to the EAM governing principles, oppose certain EAMs, and propose changes to other EAMs.

To the extent that an issue is raised by Staff or intervenors but not addressed specifically by this Panel, the positions stated therein should not be viewed or considered to have been accepted by the Company.

Q. Does this Panel reference discovery items within its CES rebuttal testimony?

A. Yes, we reference one discovery response throughout the testimony. This response is included in Exhibit___(CES-8).

Q. Was this exhibit prepared under the Panel's supervision and direction?

A. Yes.

II. Customer Empowerment Initiatives

Affordable Multifamily Electrification Pilot

Q. Please explain the Company's position on the Multifamily Electrification Pilot (Pilot)?

A. The Commission's *Order Authorizing Low- to Moderate-Income Energy Efficiency and Building Electrification Portfolio for 2026-2030* (LMI EE/BE Order) stated that the Pilot is part of the generic energy efficiency and beneficial electrification (EE/BE) proceedings (Case 25-M-0249, *In the Matter of the 2026-2030 Low- to Moderate-Income Energy Efficiency and Building Electrification Portfolio*, Order Authorizing Low- to Moderate-Income Energy Efficiency and Building Electrification Portfolio for 2026-2030, p. 142 (May 25, 2025)). Consequently, Staff recommended removal of the Pilot from the rate proceeding, and the Company agrees. The Company intends to address other recommendations from Staff and parties, as needed, regarding this program in the generic EE/BE proceedings.

Customer Clean Energy Programs (CCEP) Staffing

Q. Please explain the Company's position on CCEP Staffing?

A. Based on the LMI EE/BE Order noted above and the *Order Authorizing Non-Low- to Moderate-Income Energy Efficiency*

and Building electrification Portfolios for 2026-2030 (Non-LMI EE/BE Order), Staff recommended that CCEP Staffing be removed from the rate case and handled in the generic EE/BE proceedings (Case 25-M-0248, *In the Matter of the 2026-2030 Non-Low- to Moderate-Income Energy Efficiency and Building Electrification Portfolio*, Order Authorizing Non-Low- to Moderate-Income Energy Efficiency and Building electrification Portfolios for 2026-2030 (May 25, 2025)). The Company agrees and is withdrawing the pilot and the labor requests and addressing them in EE/BE proceedings as required by the Commission.

Select Pricing Plan (SPP) Price Guarantee

Q. What did the Company propose for the SPP Price Guarantee?

A. The Company proposed to continue offering the SPP as well as to remove the current enrollment cap of 500 customers per category of heat pump.

Q. Before addressing the parties' comments, please discuss program enrollment.

A. There has been a recent uptick in enrollment to 50 heat pump customers per month as of December 2024, up from the prior seven customers per month average, resulting from enrollment process improvements, allowing customers to

enroll online as well as increased education and outreach activities.

Q. Does the Company expect enrollment to continue to increase?

A. Yes. Although existing caps on the SPP Price Guarantee make it difficult to increase enrollment because marketing to customers who will be unable to enroll could be more harmful than helpful.

As of June 2025, there are fewer than 160 air source heat pump (ASHP) Price Guarantee spots remaining under the cap, so the Company currently is curtailing outreach efforts.

Q. Which parties commented on the SPP Price Guarantee?

A. Natural Resources Defense Council (NRDC), Alliance for a Green Economy (AGREE), the Environmental Defense Fund (EDF), and the City discussed the SPP Price Guarantee.

Q. What were parties' positions on the SPP Price Guarantee?

A. No party objected to continuing the SPP Price Guarantee or removing the caps. Parties suggested changes to promote rates to heat pump customers in four areas:

- Develop personalized rate recommendations;
- Provide rate outreach and enrollment information through the Clean Heat program;

- Develop a Price Guarantee for Rate III customers; and
- Assess how rates can support low- to moderate-income (LMI) electrification.

Q. Do you agree with the recommendation to deliver personalized rate recommendations to heat pump customers?

A. No. Given the existing and expected enrollment increases, it is premature to provide new methods of outreach and education without associated resources before understanding their true impact.

Further, the Company proposes to continue investments in customer-driven tools for rate education through the Customer Analytics, Reporting, and Engagement (CARE) initiative (see Exhibit___(IT-5), p. 59).

Q. Do you agree with the parties' proposal to integrate rate recommendations and education into the Clean Heat program?

A. Yes. However, the Company, not contractors, should be the primary conduit of rate related information to customers for accuracy and clarity purposes. The Company will continue to provide Clean Heat participating contractors and implementation contractors with approved materials to support customer education. Issues regarding rate

recommendations and/or contractor engagement for Clean Heat customers should be addressed in the generic EE/BE proceedings.

Q. Did parties recommend that a Price Guarantee be offered to heat pump customers on other rates?

A. Yes. NRDC makes that suggestion; however, the Company does not agree. In this proceeding, the Company proposes revising the seasonal revenue recovery of SC1 Rate III to better align with that of SC1 Rate I (Electric Rate Panel Direct Testimony, p. 31). As the Electric Rate Panel explains, under the Company's proposal, which better reflects cost-causation by shifting more cost recovery into the non-summer period, SC1 Rate III may then be less economical for heat pump customers compared to existing alternatives. More fundamentally, the Company has not evaluated the impacts of the proposed revision to SC1 Rate III on heat pump customers or the cost of providing the price guarantee for heat pump customers on Rate III (NRDC-7-126(b)).

Q. Were any specific recommendations made for low-income customers?

A. Yes. AGREE suggests that the Company should assess how rates and marketing of rates can support LMI electrification (AGREE, p. 48).

Q. Do you agree?

A. No, not as part of this proceeding.

Q. Can you elaborate why the Company should assess how rates and marketing of rates can support LMI electrification outside of this proceeding?

A. There are many considerations and programmatic implications when it comes to electrifying LMI customers, including upfront incentive program design, bundling energy efficiency measures, Energy Affordability Program (EAP) discount enrollment, and Home Energy Assistance Program (HEAP) discounts, in addition to rate options. As per the Commission's Non-LMI and LMI EE/BE Order, these types of issues are being addressed in the Company's EE/BE programs, which are being implemented in the statewide EE/BE proceedings (LMI EE/BE Order, pp. 81-83; Non-LMI EE/BE Order, pp. 32-35). Under those programs, the Company already plans to enhance SPP marketing to Clean Heat customers, including low-income customers.

<u>Parties' Proposed Electric Vehicle (EV) and Heat Pump Rates</u>

Q. Did parties have any comments or recommendations related to EV charging rates or heat pump rates?

A. Yes. Both the City and EDF made EV and/or heat pump rate proposals, which are addressed in the Electric Rate Panel rebuttal testimony (Electric Rates Panel Rebuttal Testimony, pp. 37-59).

III. Increasing Grid Visibility and Flexibility Initiatives

Distribution Planning Staffing – Non-Pipeline Alternatives (NPA) Team

Q. Please explain the Company's plans for its NPA programs.

A. The Company's filing (Clean Energy Transition Panel, p. 50) describes expected NPA programs. These programs include: (1) the Electric Advantage Program; (2) the Energy Exchange Program; and (3) the Area Load Relief Program. The Distribution Planning Staffing white paper (Exhibit___(CES-6), p. 37) describes the NPA program expansion.

Q. How is the NPA team currently structured?

A. Currently, NPA strategy employees develop new NPA opportunities for all three programs, and operations employees perform customer outreach, education, recruitment, and project management for NPA projects.

Q. Did Staff make any adjustments to the Company's NPA staffing proposal?

A. Yes. Although Staff notes the value of the NPA program and the desire to encourage electrification of gas customers, Staff's Gas Reliability and Supply Panel (p. 138) denied the Company's requested six NPA FTEs. Staff bases its adjustment on the claim that there is not enough evidence to justify increasing the program's existing FTEs due to lack of forecasted growth in the Electric Advantage, Energy Exchange, and Area Load Relief programs.

Q. Does the Company agree with this suggestion?

A. No. The Company is staffed to manage two programs, Electric Advantage and Energy Exchange, at their current size. The Company's NPA program experience to date indicates that substantial effort is required to identify and target locations for cost-effective infrastructure avoidance that meet the criteria for NPA projects. Incremental FTEs are needed to accelerate current NPA projects and support the development of new programs for future growth, conduct individualized review of infrastructure to confirm eligibility, and review customer account, energy consumption, and building data

to conduct benefit cost analyses. Once opportunities are identified, employee labor is required to conduct individualized customer outreach and education, recruit and onboard participating contractors, connect interested customers with participating contractors, and then assist with overseeing the project to completion. This includes hiring contractors to develop an appropriate scope of work, confirming electric service adequacy, meeting program rules, assisting the customer with closing their gas account and disconnecting their gas service, reviewing finalized project documentation, conducting customer satisfaction reviews, and overseeing quality control inspections.

Q. What work will be done by the requested FTEs?

A. Six incremental employees are required, three for program strategy and three for operations, to develop additional projects within existing programs and grow new programs.

- Program strategy needs three incremental FTEs to:
    - Increase the number of Electric Advantage opportunities that can be identified and perform benefit-cost analyses prior to scheduled main replacement work.

- Collaborate with Commodity Forecasting and Gas Engineering teams to identify and develop new Area Load Relief NPA opportunities.
- Further identify long-term infrastructure needs and design new NPAs that can achieve their avoidance.
- Collaborate with internal stakeholders to further integrate electrification and energy efficiency into the Company's long-term infrastructure planning processes.

- Program operations needs three incremental FTEs to:
  - Increase promotion for Electric Advantage and Energy Exchange NPA program offerings to recruit customers to participate and raise stakeholder and community awareness of the programs.
  - Expand the network of contractors by recruiting, onboarding, and training them to participate in both new and existing NPA programs.
  - Conduct project and program management activities for the increased volume of work including addressing customer inquiries,

coordinating with Energy Services, Electric Operations, Gas Operations, and Customer Operations to ensure electric service adequacy, gas account closure, and gas service disconnects, reviewing project documentation, processing invoices to contractors, performing customer satisfaction surveys, and overseeing quality control inspections.

IV. Earnings Adjustment Mechanisms (EAMs)

Q. Have parties made proposals related to EAMs in this proceeding?

A. Yes. Staff, the City, NYECC, Electrify America, and State Senator Robert Jackson made EAM proposals.

Q. Please describe the proposals.

A. Staff proposes several changes to EAMs.

First, Staff proposes four new criteria for evaluating whether EAMs should be adopted and for setting EAM targets.

Second, Staff recommends expressing EAM earnings opportunities in terms of absolute amounts instead of basis points.

Finally, Staff proposes eliminating or modifying Company EAMs and reducing their values.

The City proposes eliminating EAMs that are outcome-based or encourage support for actions that are required by law. For the remaining EAMs, the City proposes raising targets, modifying, or incorporating Negative Revenue Adjustments (NRAs).

Similar to the City, NYECC and Senator Jackson propose eliminating outcome-based EAMs.

NYECC recommends justifying EAMs based on net savings to customers.

Electrify America recommends raising targets for the transportation interconnection EAM.

Earnings Adjustment Mechanism Principles

Q. What was the Commission's goal when it established EAMs?

A. In its *Order Adopting a Ratemaking and Utility Revenue Model Policy Framework*, the Commission sought to create a modern regulatory model – inclusive of EAMs – that "decisively and substantially" aligns utility shareholder financial interest with State policy and consumer interest(Case 14-M-0101, *Proceeding on Motion of the Commission in Regard to Reforming the Energy Vision*, Order Adopting a Ratemaking and Utility Revenue Policy Framework, p. 6 (May 19, 2016) (Track Two Order)). In that Order, the Commission found that "Aligning financial

incentives with policy goals is the best way to assure the furtherance of these goals" (Track Two Order, p. 39). The Commission further found that EAMs were necessary complements to traditional cost-of-service ratemaking to address the urgent need for regulatory change (Track Two Order, p. 22), stating: "If cost-of-service calculations are to remain the basis of utility rates for the foreseeable future, then creating new earning adjustment opportunities are both a fair and a necessary means of promoting change" (Track Two Order, p. 59). The Commission stated that incentive opportunities should be "financially meaningful" and structured such that they encourage "enterprise-wide attention" and "strategic portfolio-level approaches beyond narrow programs" (Track Two Order, p. 68).

Q. Taken together, would parties' proposals result in an EAM portfolio that is consistent with the Track Two Order?

A. No. Staff proposes to eliminate three EAMs and raise targets on two of the remaining EAMs to the point where they would be unachievable. The City, NYECC, and Senator Jackson propose to eliminate all outcome-based EAMs. The City also proposes to raise targets on remaining EAMs, making them unachievable, and incorporate an NRA into the

Transportation Interconnection EAM. The proposals' limits on earnings opportunities, coupled with very high targets, would likely not achieve the Commission's expressed purpose: to promote utility actions to further State policy objectives and associated customer benefits.

Q. Has the Commission issued an order changing its finding that EAMs are a necessary part of its regulatory framework or its determination that EAMs should decisively align utility shareholder financial interest with State policy?

A. No.

Q. Are utility rate cases the right venue for Staff's proposed four new criteria or for the City's proposed rule against incentives for activities related to a statutory requirement?

A. No.

Q. Please explain.

A. The Commission has explained that: "while the size and method of [EAM] recovery should be addressed in rate cases, *structural issues require guidance from the Commission in order to provide clear direction and avoid unnecessary and time-consuming argument in rate cases* (Track Two Order, p. 61). These proposals by Staff and

the City are about structural issues and raising them in this case risks creating unnecessary and time-consuming arguments the Commission warned against, particularly because they are inconsistent with prevailing Commission policy. Therefore, this is not the right venue for such proposals and any new EAM criteria and structural issues should be considered in a generic proceeding.

Staff's General Recommendations and Proposed Criteria

Q. Does Staff have any recommendations if this proceeding becomes a litigated one-year case?

A. Staff recommends, in a one-year litigated case, the Commission consider EAMs as tracking metrics only, with specific associated performance targets and metrics, but with no assigned basis points.

Q. Do you agree with Staff’s recommendation?

A. No.

Q. Please explain.

A. The Track Two Order does not limit EAMs in one-year litigated rate cases. The Track Two Order highlighted that “outcome-based incentives should generally be structured on a multi-year basis.” The Company’s proposed EAMs continue currently authorized EAMs, maintaining consistency and ongoing progress. The only new EAM, the

Bus Emissions EAM, builds on and expands beyond the experience of the Light-Duty Vehicle Emissions EAM, demonstrating a logical extension of existing efforts. Authorizing EAMs in a one-year litigated rate case continues the multi-year structure of the Company's EAM portfolio, avoiding a gap, and aligns with the Commission's vision of sustained, outcome-based incentives. This approach not only adheres to the principles set forth in the Track Two Order but encourages the Company to build on the momentum of past actions, continue driving innovation in key policy areas, and maximize the effectiveness and impact of EAMs by maintaining a steady trajectory of innovation and improvement.

Q. What are the four new criteria for EAMs proposed by Staff?

A. First, "where an outcome of a proposed EAM is simply to maximize use and usefulness of a piece of utility plant or equipment, an EAM is not warranted" (Staff Markets and Innovation Panel, p. 108 (SMIP)).

Second, an EAM is not recommended "where the Commission has authorized utility-operated programs with utility-specific budgets and targets specifically intended to

meet statutory requirements" and "the Company is required to deliver these outcomes and should do so at least cost" (SMIP, p. 109).

Third, EAM targets should be based on achieving or over-achieving policy goals "where the Commission or the State has established a target related to policy goals but has not committed utility-specific programs and funding to directly achieve those goals" (SMIP, p. 111).

Fourth, Staff states "if none of the other conditions are applicable, or the Company is already on track to over-achieve the applicable state policy goal, only then should EAM targets be developed based on over-achieving compared to historic performance" (SMIP, p. 112).

Q. Should Staff's proposal be used in this case?

A. No. Overall, Staff implies that the Company's EAMs must meet these four criteria. We are aware of no Commission order requiring these criteria.

Q. Do you have additional comments on Staff's criteria?

A. Yes. Regarding the first criterion, the Commission developed EAMs to "serve a different set of purposes" and "counter the implicit negative incentives that the current ratemaking model provides" (Track Two Order, p. 60). Staff's proposed criterion would eliminate

incentives that encourage utility innovation using existing utility plant or equipment.

Q. Please comment on Staff's second criterion.

A. Staff’s recommendation that EAMs not be allowed where a utility is carrying out a program in furtherance of a statutory obligation and the assertion that utilities are obligated to carry out such programs at least cost is inconsistent with the Track Two Order.

The Commission has stated that utilities should be incentivized to achieve desired policy outcomes, and that incentives are appropriate to align utility interests with State policy. (Track Two Order, p. 39). State policy includes the CLCPA and its clean energy goals.

Q. Do you have other concerns about Staff’s second criterion?

A. Yes. In discussing the second criterion, Staff includes an assertion that the Company is obligated to achieve program targets at least cost. Staff’s proposed least cost standard would prevent the Company from achieving State policy goals because those goals specifically include measures that are not least cost. Examples of these technologies include geothermal heat pumps, which are more expensive than air-source heat pumps where

heating electrification is concerned; and DCFC EV chargers, which are more expensive than L2 chargers where transportation electrification is concerned.

Q. Does Staff suggest a negative revenue adjustment as part of its second criterion?

A. Yes. Staff suggests that the Commission consider negative revenue adjustments if a utility does not meet targets in clean energy programs designed to achieve CLCPA goals (SMIP, p. 110).

Q. Do you agree with Staff's suggestion?

A. No. The Commission has explained that "negative revenue adjustments should typically be reserved for exceptional instances of inadequate effort or performance;" (Track Two Order, p. 66) they are not appropriate for ordinary instances of missing targets despite reasonable efforts. In addition, the proposal rests on the premise that regulators know precisely what actions are needed to achieve policy outcomes. The Commission has rejected this premise, explaining that "[a] construct in which regulators presume foreknowledge of how innovation must occur is antithetical to the premise of REV" (Track Two Order, p. 62).

Q. Do you agree with Staff's third criterion?

A. No. Staff's third proposal, which would require targets be based directly on achieving or over-achieving Commission or State policy goals, no matter how ambitious, does not factor in whether the resulting targets are reasonably achievable given the current starting point. The key determinant of whether an EAM is effective should be whether the EAM provides an appropriate incentive for accelerating utility achievement of the policy goal. An EAM with a target that is not reasonably achievable is not effective.

Q. Do you agree with Staff's fourth criterion?

A. No, historical performance is a necessary input when designing targets for achievability and should be considered in the development of all targets.

Other Parties' Proposed Criteria

Q. Do other parties propose EAM criteria?

A. Yes. The City, NYECC, and Senator Jackson propose eliminating outcome-based EAMs. The City also proposes EAMs should not be awarded for efforts that support actions that are now required by law and incorporates an NRA into one of the EAMs. NYECC proposes justifying EAMs based on net savings to customers.

Q. Is it appropriate to have EAMs for actions that support CLCPA goals?

A. Yes. Staff's testimony identifies that the Commission's policy of EAMs is that they are "earnings opportunities designed to align utility shareholder interests with New York State energy policy goals" (SMIP, pp. 97-98). The CLCPA goals are New York State energy policy goals, therefore having EAMs to support them is appropriate. The Track Two Order states that "an outcome orientation will tend to be the most effective approach to address the mismatch between traditional revenue methods and modern electric system needs" (Track Two Order, p. 62).

Q. Regarding outcome-based EAMs, must every EAM reward only those actions that are under a utility's full control?

A. No. Adopting this principle would limit EAMs to only narrow programmatic EAMs designed around prescriptive performance targets, limiting innovation and the impact of EAMs. The Commission envisioned outcome-based EAMs that would encourage utility innovation and market enablement, stating "an outcome orientation will tend to be the most effective approach to address the mismatch between traditional revenue methods and modern electric system needs" and that "utilities will not have control

over the market activities of customers and third parties, even though these activities in the aggregate will be critical to the optimal performance of the system. Utilities will enable markets to drive outcomes. Limiting shareholder incentives to items under utility control would omit a wide range of desired outcomes" (Track Two Order, p. 62). Achieving policy goals requires many third parties, including technology providers, developers, municipalities, and utility customers, to act. Furthermore, in a report on key learnings on how best to use performance incentive mechanisms (PIMs), a term that encompasses EAMs, Rocky Mountain Institute states, "Outcome-based PIMs provide new opportunities to leverage utilities' unique knowledge of the grid to benefit customers . . . [O]utcome-based PIMs allow the utility more flexibility to choose which portfolio of programs and investments best produce desired outcomes most cost-effectively" (Cara Goldenberg, Dan Cross-Call, Sherri Billimoria, and Oliver Tully, *PIMs for Progress: Using Performance Incentive Mechanisms to Accelerate Progress on Energy Policy Goals*, Rocky Mountain Institute, 2020, p. 8, https://rmi.org/insight/pims-for-progress/).

While some degree of utility control or influence matters, the rule should not be that EAMs should apply only when there is full control. This would not incorporate the role that utilities play in working with their customers. For example, efforts to achieve the Demand Response EAM have led to direct-to-customer marketing, attending expositions, and additional efforts to simplify customer enrollments and enabling them to participate across multiple programs where possible. The Company met with stakeholders to find ways to improve customer participation in demand response. These stakeholder sessions have resulted in program improvements, such as aligning the Distribution Load Relief Program dispatch windows with customer interconnection requirements, allowing year-round enrollments, allowing enrollments to rollover from year-to-year, and working with engineering efforts to reduce interconnection costs for battery developers.

Q. Should EAMs be justified based on net savings to customers?

A. No. The Commission notes that EAMs "must both encourage achievement of new policy objectives and counter the implicit negative incentives that the current ratemaking

model provides against REV objectives" (Track Two Order, p. 61). EAM outcomes are aligned with policy objectives, and while some EAMs may incorporate net savings to customers, it is not the only measure of societal value and progress towards policy goals. Net savings to customers does not fully incorporate the societal benefits associated with EAMs, the value of which are quantified and detailed in Exhibit__(CES-7, p. 5).

Overall EAM Portfolio

Q. Taken together, how would Staff's proposals affect the customer benefits associated with the Company's proposed EAM portfolio?

A. Staff's proposal leaves the Company with five electric EAMs, two of which (Demand Response and DER Utilization Storage) have unattainable targets. The proposal includes a maximum earnings opportunity of 32 basis points.

Q. Has the Commission discussed the proper overall size of EAM portfolios?

A. In the REV Proceeding, the Commission found that "incentive opportunities should be financially meaningful" which the Commission then established 100 basis points for the maximum amount of earnings on the first round of REV initiated EAMs (Track Two Order,

p. 68). The Commission justified its position by observing that the upper bound on earnings opportunities would not be achieved in all cases, as has been the case historically – and that EAMs are established for activities with positive value and "therefore the more they are awarded, the better for customers" (Track Two Order, p. 68).

Q. Do Staff's proposals align with the Commission's view of the overall size of EAM portfolios?

A. No. Staff's proposals result in an EAM portfolio limiting the effectiveness of EAMs to encourage innovation and promote utility actions towards State policy objectives.

Q. Can the Company respond to Staff's statement that the Company lacks "specific rationale to support its proposed financial awards for individual EAM metrics"(SMIP, p. 123) and that it does not provide detailed rationale to support its proposals to modify minimum or midpoint levels of any specific EAM metrics?

A. The Company included order of magnitude calculations for societal value associated with EAMs in Exhibit__(CES-7). Basis points were allocated to each EAM considering the respective societal benefits due to incremental achievement above baseline projections. For example, the

Company proposed an increase in basis points for the Distributed Energy Resources (DER) Utilization Storage EAM from minimum, midpoint, and maximum basis points of one, three, and seven to three, six, and ten, respectively. This increase is justified because of the increase in societal value associated with higher MW of storage installed.

Demand Response

Q. Did any parties comment on the Demand Response (DR) EAM?

A. Yes, Staff and the City.

Q. What is the intended purpose of the DR EAM?

A. The EAM's objective is to incentivize the Company to increase participation in Demand Response programs beyond historical growth trajectories. This includes the Company's DR programs such as Commercial System Relief Program (CSRP), Distribution Load Relief Program (DLRP), Term Dynamic Load Management (Term-DLM), Auto Dynamic Load Management (Auto-DLM), and Bring Your Own Thermostat (BYOT) programs, as well as the NYISO Special Case Resource (SCR) program.

Q. Did parties recommend altering how the Demand Response EAMs are designed?

A. Yes. Staff recommended increased targets above the Company's proposal, equivalent to those approved in the 2023 rate order, set at multiples of 1.4x, 1.8x, and 2.2x above the baseline annual DR growth rate for the minimum, midpoint, and maximum targets, respectively.

Q. Does the Company agree with modifying the Demand Response EAM targets?

A. No. Staff's proposal would cause targets to be too high for several reasons.

First, Staff acknowledges that since the implementation of Department of Environmental Conservation's regulation 6 NYCRR Part 222, there has been an observed decrease in diesel generator participation in Company DR programs and is expected to similarly affect SCR participation.

Second, as the Company's DR programs have matured, enrollment growth has begun to plateau.

Third, future NYISO SCR enrollment remains uncertain.

Q. Does Staff discuss the SCR program and how it relates to volatility risk that could reduce enrollment growth?

A. Yes. Staff refers to the risk of SCR program enrollment volatility as "low" (SMIP, p. 117) and offers several reasons. First, that the NYISO is tabling efforts to modify the SCR program, and second, that the NYISO's

effort to enroll participants in the DER and Aggregation model does not affect SCR participation as enrollment and participation requirements in the DER and Aggregation model are different (SMIP, pp. 115-116).

Q. Does the Company agree with Staff's conclusion that SCR no longer presents a risk to enrollment?

A. No. There is reason to expect any future NYISO SCR market changes could have a negative impact on SCR enrollment. First, while the Company can work to influence SCR enrollment, the Company does not manage or administer the NYISO SCR program and cannot control or influence program design decisions now or in the future that may cause changes in enrollment. Although the NYISO has tabled proposed changes to SCR for now, over the past two years the NYISO expressed on several occasions that it will look to develop changes to improve operational utility, such as shorter notice period, longer duration, more flexibility to deploy, and modifying the baseline methodology (See ongoing updates from the NYISO Installed Capacity Working Group for example updates published April 1, 2025 https://www.nyiso.com/documents/20142/50614388/ETDS%20202

5%20Project%20Update_Final%20(1).pdf/5d4f2eed-4b51-4ab6-1bfd-6528e69f1f42).

Second, the Company is concerned about the potential impact on SCR enrollment of FERC Order No. 2222, which introduces a competing market product. While Staff asserts that NYISO's DER and Aggregation model will appeal to different resources than SCR, the DER and Aggregation model is new and the impact on SCR is highly uncertain with competing options available, and, therefore, poses a risk to the future trajectory of SCR enrollment.

Q. Does Staff discuss any other issues related to DR program enrollment?

A. Yes. Staff suggests that if the Company's petition in Case 14-E-0423 is approved, the tariff would allow dual participation in the NYISO SCR program and the Company's Bring Your Own Thermostat program, thereby reducing risk of lower SCR enrollment.

Q. Does the Company agree that dual participation in the Company's BYOT program and NYISO SCR would further reduce the risk of lower SCR program enrollment?

A. No. The Company expects this petition, if approved, will allow dual enrollment, leading to a one-time enrollment

increase but would not alter the long-term trajectory of the SCR program enrollment (Case 14-E-0423, *Proceeding on Motion of the Commission to Develop Dynamic Load Management Programs*, Petition of Con Edison for Approval of Changes to Its Bring Your Own Thermostat Program (March 3, 2025)). If approved in the next few months, many of the co-enrollments may take place in 2025, increasing the baseline year and making future targets more challenging. In addition, in 2023, the BYOT program constituted only 2.3% of total enrollments, which is calculated from data in the Company's 2023 EAM report under Case 22-E-0064. The Company is preparing its next EAM report and expects slightly lower enrollments for 2024. A subset of co-enrollments with the NYISO SCR program is unlikely to significantly impact the total enrollments of this EAM.

DER Utilization Solar

Q. Please describe the DER Utilization Solar EAM.

A. The DER Utilization Solar EAM incentivizes the Company to support customer adoption of solar photovoltaics (PV) in its service territory.

Q. Please summarize Staff's position on the DER Utilization Solar EAM.

A. Staff provided four recommendations for the DER Utilization Solar EAM.

First, Staff recommends the minimum target for a given year be set no lower than the baseline for the previous year if the rolling three-year average baseline decreases from one year to the next.

Second, Staff recommends the Commission maintain the present DER Utilization Solar target levels, which are 7.5 percent, 25 percent, and 50 percent for the minimum, midpoint, and maximum targets, respectively.

Third, Staff recommends the minimum and midpoint basis points from the Company's proposal be lowered to one basis point and three basis points, respectively.

Fourth, Staff recommends the Company only be allowed to earn a financial award under the DER Utilization Solar EAM if it is not assessed an NRA related to its Community Distributed Generation (CDG) billing practices and implementation.

Q. Please comment on Staff's recommendations.

A. We disagree with setting the targets at 7.5 percent, 25 percent, and 50 percent for the minimum, midpoint, and maximum, respectively. The target levels proposed by the Company (5 percent, 10 percent, and 20 percent above the

baseline for minimum, midpoint, and maximum, respectively) are ambitious yet achievable considering the challenging market and policy factors. The targets reflect industry trends, which show declining growth in the sector. According to Bloomberg New Energy Finance, nationally, residential solar installations fell by 19 percent in 2024 due to heavy inflationary economic pressure and high interest rates. In New York State, residential solar additions peaked at 230 MW in 2023 and declined to an estimated 170 MW in 2024. These historical decreases do not account for additional recent headwinds, such as tariffs and potential Investment Tax Credit removal. Installations are expected to plateau and not reach 2023 levels through 2028 (Bloomberg New Energy Finance, 2025 U.S. Residential Solar Market Update: Down But Not Out (Jan. 30, 2025)).

Q. Please continue.

A. Lowering the basis points is not warranted. Supporting solar installations has significant societal benefits. To determine basis points, the Company calculated order-of-magnitude estimates for value of each EAM's achievement (Exhibit__(CES-7, p. 5). Meeting minimum targets for DER

Utilization Solar targets could have nearly $30 million in grid value.

Q. Does the Company have any other comments on Staff's recommendations?

A. Yes. As explained above in the Company's response to Staff's second new criteria, NRAs are not appropriate in the context of EAMs. Further, CDG billing practices should not be tied to an EAM. CDG, although important, is a limited portion (approximately 16 percent) of solar interconnected in the Company's service territory. The addition of this condition would conflate two distinct issues: solar interconnections and billing. If there is a NRA focused on CDG billing, it should not apply to this EAM and potentially penalize the Company twice.

DER Utilization Storage

Q. Please describe the DER Utilization Storage EAM.

A. The DER Utilization Storage EAM incentivizes the Company to support customer adoption of battery energy storage systems (BESS) in its service territory.

Q. Do any parties have proposals related to the Company's DER Utilization Storage EAM?

A. Yes. Staff and the City proposed changes.

Q. Can you describe Staff's position?

A. Staff recommends the Commission continue the existing baseline methodology, target setting methodology and targets and financial awards it previously approved for this EAM.

Q. Please describe Staff’s position regarding the baseline.

A. Staff disagrees with the Company's proposed baseline, claiming that the baseline currently in place was determined as the exponential growth curve that would achieve 100 percent of the Company’s share of the statewide energy storage deployment goal and that the Company proposes to set the baseline on an exponential growth curve to achieve 65 percent of its share of the statewide goal.

Q. Please respond.

A. The Company’s baseline proposal represents a significant increase of storage installed in its service territory. It represents total storage installations of 123 MW from 2026 through 2028, greater than 1.3 times total cumulative storage through 2024. Staff’s proposed baseline equates to nearly 190 MW of total storage installations from 2026 through 2028, or 2.1 times the total cumulative storage through 2024.

We note that market factors, like tariffs and changes to the federal Investment Tax Credit, will impact storage costs and installations. For example, Bloomberg New Energy Finance has revised downward their 2026 forecast of U.S. installations of energy storage by 74 percent for the scenario in which high tariffs persist (Bloomberg New Energy Finance, Trump Tariffs are Thrashing the US Energy Storage Market (May 9, 2025)). Staff's recommended baseline would put the targets out of reach especially considering the new and challenging market conditions.

Q. How does Staff describe the Company's proposed targets?

A. Staff describes the Company's proposed targets as meaningfully lower at each achievement level than the present targets. Staff recommends continuing the existing target methodology with the minimum, midpoint, and maximum targets set at 10 percent, 25 percent, and 50 percent above the policy goal baseline, respectively.

Q. Does the Company agree with the changes or Staff's justifications for the changes to targets?

A. No. The proposed targets are significantly higher in absolute terms at each achievement level than present targets. The 2026 Company proposed targets, for example, are 50 percent higher in MW terms compared to 2025

targets (for minimum, 40 MW in 2026 compared with 26.8 MW in 2025). The Company proposed 2027 targets are more than 70 percent higher, and the 2028 targets are 100 percent higher compared with 2025 targets. Staff's proposal does not account for the greater number of absolute MW associated with each percentage relative to the policy goal. Targets should be set at ambitious but achievable levels. Targets set at Staff's proposed levels, given challenging market conditions described above, are unachievable.

Q. Does the Company agree with the changes or Staff's justifications for the changes to basis points?

A. No. The Company disagrees with Staff's basis point recommendation. As noted above, the targets proposed by the Company represent a 50 to 100 percent increase in MW of storage compared to 2025 targets, which represents a higher societal value.

Q. Please summarize the City's position on this EAM.

A. The City recommends removing the DER Utilization Storage EAM because it rewards shareholders for Commission actions. However, if the DER Utilization Storage EAM remains, the City recommends targets at levels above

NYSERDA's implementation plan, comparable to levels proposed by Staff.

Q. Please respond to the City's recommendation to eliminate this EAM.

A. The City's rationale, that barriers have been fully removed regarding storage deployment, understates the complexity of interconnecting such projects, especially in Con Edison's dense urban service area where battery safety requirements are significant. Eliminating this EAM at a time when such projects are challenging to build and are facing a less supportive financial environment will send the wrong policy signals.

Q. Please comment on the target recommendations.

A. The Company disagrees. Please see the response to Staff's proposal to change the targets for this EAM.

<u>Transportation Interconnection</u>

Q. Do any parties have proposals related to the Company's Transportation Interconnection EAM?

A. Yes. Staff, the City, NYECC and Electrify America proposed changes.

Q. Please provide an overview of this EAM.

A. As explained in our initial filing, the Transportation Interconnection EAM incentivizes the Company to reduce

the average timeline for interconnection of transportation electrification projects.

Q. Please summarize Staff's position.

A. Staff recommends eliminating this EAM arguing that the Company is already incentivized through its traditional business model to provide new or incremental service to EV charging.

Q. Do you agree with Staff assessment?

A. No. This EAM metric incentivizes the Company to specifically connect transportation electrification large loads faster than the Company has historically connected any types of load, which is a priority for EV charging customers that can add large loads to the system more quickly than buildings customers. In this way, the EAM helps meet policy goals.

Q. How did Staff conclude that the utility's traditional business model aligns with encouraging EV adoption?

A. Staff reviewed exhibits from the Company’s Electric Infrastructure and Operations Panel, Shared Services Panel, Information Technology Panel, and Customer Energy Solutions Panel (SMIP, pp. 166-167), which in total listed 270 project and program capital requests. Staff reviewed for projects that had electric vehicle load

growth identified in the rationale for the project. The review found 36 (or 13 percent) capital projects with "some linkage" to electric vehicles in the white papers (SMIP, p. 166). From this review, where nearly 90 percent of the projects do not include a mention of electric vehicles, Staff still concluded that connecting transportation electrification projects and encouraging adoption of electric vehicles, "is well within the Company's traditional business model" (SMIP, p. 167). Staff therefore determined that incentives are unnecessary under this EAM.

Q. Do you have any response to Staff's review and conclusions related to that review?

A. Neither Staff's conclusory review nor its findings support Staff's ultimate conclusion that the EAM is no longer necessary. The fact that the Company is investing in electrical infrastructure to support transportation electrification load growth does not eliminate the value of speeding interconnection of larger EV charging stations through this EAM. The Company's traditional business model encourages the Company to serve *all* load growth but the EAM is valuable for customers building EV charging infrastructure where there is a timing mismatch

between the customer project timeline and utility infrastructure buildout timeline.

Q. What is the City's position?

A. The City proposes eliminating the Transportation Interconnection EAM and replacing it with a broader Electrification Interconnection EAM that includes both building and transportation electrification. The City claims that interconnection improvements "apply equally" to both building and transportation electrification projects and should be equally treated. (New York City Policy Panel, p. 91).

Q. Do you agree that there should be a broader Electrification Interconnection EAM?

A. No. The Commission's Order Directing Energy Efficiency and Building Electrification Proposals does not contemplate such a construct (Case 14-M-0094, *Proceeding on Motion of the Commission to Consider a Clean Energy Fund*, Order Directing Energy Efficiency and Building Electrification Proposals, pp. 85-86 (July 20, 2023) (Order Directing Proposals)).

Q. Are there any other reasons that the Company disagrees with this?

A. Yes. Transportation electrification interconnection projects are sufficiently different from building electrification projects in scope and size to merit its own EAM. For example, the threshold for the Transportation Interconnection EAM is 300 kW and requires the EV charging load make up at least 50% of the load request. For building electrification, the heat pump load is typically below 300 kW, often closer to 100 kW and typically represents a smaller share of the overall new load requested, especially when part of gut renovations or new construction.

Q. Please comment on using a combination metric that includes an NRA.

A. The Company opposes the City's proposal to include an NRA, which would apply if the Company does not achieve a minimum threshold for reduction in timelines each year (ten or fifteen percent).

As previously discussed in this rebuttal, the Track Two Order promotes positive financial incentives rather than direct regulatory mandates with negative consequences and explains that NRAs should be reserved for exceptional instances of inadequate effort or performance (Track Two

Order, pp. 39, 66). The City has not demonstrated that there are exceptional circumstances mandating an NRA.

Q. Does the City and other parties recommend modified targets?

A. Yes. The City proposes consideration of 30 or 40 percent reduction in timeline.

Electrify America (EA), claiming that the current 20 percent midpoint target is "meager," proposes that the Company not even consider an EAM with targets below a 50 percent reduction in all six work categories.

Q. Does the Company agree with these positions?

A. No. Targets of 30, 40, or 50 percent are unrealistic to achieve on such a short timescale because of equipment timelines and resources required. Equipment purchases and deliveries on both the customer and utility sides contribute to the timeline. There is a limit to how much the Company can reduce timelines as well as how quickly those efforts will show results. For example, for the New Vault Service work category, which has a baseline project length of 1,147 days, a target of 50 percent reduction (to 573.5 days) or 40 percent (688.2 days) would be unfeasible given longer delivery timelines for transformers. Similarly, Secondary Service work category

has a 545-day baseline, so a 50 percent reduction is 272.5 days. Such a target would thus be unfeasible for New Secondary Service installation jobs that require switchgear, which generally takes one year from order to delivery. Other targets -- 40 percent reduction (327 days), and 30 percent reduction (381.5 days) -- push the bounds of possibility.

Conversely, the Company's proposed targets balance attainability and value. The Company estimates that reducing timelines to achieve the maximum EAM targets in 2026 yields $324 million in societal value (Exhibit__(CES-7), p.5). Connecting EV charging faster leads to more EV adoption sooner, which leads to more and faster emissions reductions. It also lowers development costs for EV charging station developers and owners, creating a virtuous cycle that enables developers to install more charging faster, which leads to more EV adoption sooner and faster emissions reductions.

Q. Please describe NYECC's position on this EAM.

A. NYECC opposes the Transportation Interconnection EAM, stating that meeting customer expectations is part of the Company's underlying obligation.

Q. Please respond to NYECC's position.

A. Development of EV charging is a relatively new phenomenon, and the customer timelines for interconnecting EVs represent a step-change compared to other customer load types. There can be significant load associated with this work, making it necessary to plan proactively (and the Commission's recent proactive planning proceeding order in Case 24-E-0364 should assist in this process).

Moreover, it can take years to construct a new building that requires new electric service, which gives the Company time to design, engineer, order and receive equipment as well as to complete the interconnection work. Compare this to EV customer construction, which can be ready in three to nine months. This puts utility and customer timelines out of sync.

Residential Managed Charging

Q. Do any parties have proposals related to the Company's Residential Managed Charging EAM?

A. Yes. Staff, the City, and Senator Jackson.

Q. Please describe the Company's proposal.

A. The Residential Managed Charging (RMC) EAM incentivizes the Company to increase EV enrollment in the SmartCharge New York (SCNY) managed charging program and encourages

program participants to avoid EV charging during system peak hours (2-6 pm).

Q. Please describe Staff's position.

A. Staff recommends maintaining the existing basis point levels at two, three, and five basis points at the minimum, midpoint, and maximum achievement levels, respectively, citing that the Company did not provide compelling rationale to increase them. Staff also recommends the EAM continues to measure and encourage PHEV participation on the basis that PHEVs comprise a meaningful portion of the light duty EV market.

Q. Is there a need to increase the basis points associated with this EAM?

A. Yes. The Company should be allowed an EAM for the SCNY program given the importance of its role in driving both EV adoption and convincing customers to charge off peak from ownership inception. As discussed further below, starting off by proactively managing charging and ingraining grid beneficial behaviors in EV drivers is important.

Q. Should the RMC EAM measure and encourage PHEV participation and performance in the SCNY program?

A. No. The EAM should focus on higher capacity BEVs since BEVs have the greatest demand on the grid.

Q. Please describe the City's proposal.

A. The City proposes discontinuing the RMC EAM, claiming the program has not been effective, enrollment is “very low” and questioning whether the program is worth its cost.

Q. Please respond.

A. First, the Company disagrees with the City’s enrollment level characterization. As stated in our initial testimony (pp. 72-73), the program is one of the largest and oldest managed charging programs in the country and has a higher enrollment rate than peer programs. For comparison, a New England utility has 3,000 enrollments, or about 10% of the market, compared with the Company's 25.9% enrollment.

Second, the program has achieved its objectives and believes it presently offers benefits to customers. The EAM only rewards the Company if it can demonstrate successful peak avoidance levels. In 2024, SCNY participants avoided possible system peak demand of up to 41.5 kW per EV on the road.

Third, the Company disagrees with the suggestion that the program is not worth the cost because EV manufacturers

(OEMs) now install software programs in EVs that delay charging to off-peak hours. On the contrary, the OEM software is complementary to SCNY. The software provides a valuable tool to manage charging; the SCNY program provides the important price signal to incentivize customers to use this software program as well as a framework for when it is beneficial to schedule charging (i.e., avoid Company-specific system peak and charge during the overnight period).

It is also essential to understand the future value of the SCNY program since the EV adoption rate is currently low and still increasing. The maximum benefit of the program will be realized once overall EV charging has increased further. It is important to proactively begin managing charging and ingraining grid beneficial behaviors in EV drivers now, rather than waiting until there are more EVs on the road, with greater grid impacts and customer costs, to manage charging behavior. The savings are expected to come from both the distribution and generation system.

Q. What is Senator Jackson's position?

A. Senator Jackson states that EAMs associated with managed charging outcomes are determined using factors that are not directly under the Company's control.

Q. Does the Company agree?

A. No. The Company influences outcomes through the EAM because the goal is to increase enrollment and engagement. Although market conditions are a factor in the level of performance required to achieve the EAM, the metric protects customers by requiring the Company to grow program enrollment along with growth in the light-duty EV market. Thus, in addition to the Company keeping pace with enrolling new EVs on the road, it must also capture some of the existing EV drivers to achieve the targets.

Commercial Managed Charging

Q. Please describe the Company's Commercial Managed Charging EAM.

A. The Commercial Managed Charging (CMC) EAM incentivizes the Company to increase enrollment of charging kW in the SmartCharge Commercial (SCC) program and encourages program participants to avoid EV charging during network peak hours.

Q. Did any parties comment on the CMC EAM?

A. Yes. Staff and Senator Jackson. At the outset, both parties make similar arguments to the RMC EAM and the Company's answers are similar.

Q. Please summarize Staff's position on the Commercial Managed Charging EAM.

A. Staff recommends maintaining the existing basis points levels at two, three, and five basis points at the minimum, midpoint, and maximum achievement levels, respectively, citing that the Company did not provide compelling rationale to increase them.

Q. Please comment on Staff's position.

A. Similar to the discussion on Residential Managed charging, the basis points appropriately balance value with outcomes and effort. In the initial testimony the Company estimates the societal value of the EAM at the maximum level at $48 million (Exhibit__(CES-7, p. 5)). Since this is higher than the estimated values for the current rate period ($30 million), the Company proposed to increase the basis points.

Light-Duty Vehicle Emissions

Q. Please describe the Light-Duty Vehicle (LDV) Emissions EAM.

A. The LDV Emissions EAM incentivizes the Company to facilitate accelerated adoption of Light-Duty electric vehicles (Vehicles less than 10,000 lbs. in gross vehicle weight--Class 1, 2A & 2B) in its service territory to decrease vehicle lifetime CO2 emissions. This includes BEVs and PHEVs.

Q. Do any of the parties have proposals related to the LDV Emissions EAM?

A. Yes, Staff, the City, and Senator Jackson.

Q. Do any parties recommend removing this EAM?

A. Yes. Staff and the City.

Q. What is Staff's rationale for removing this EAM?

A. Staff claims, as it did with the Transportation Interconnection EAM, that the Company's existing business model is already aligned with the growing adoption of electric vehicles and, therefore, concludes that the LDV Emission EAM is not necessary.

Q. Does the Company agree?

A. No. As explained in the Transportation Interconnection EAM, accelerating timelines for EV interconnections is not business as usual. Moreover, the purpose of this EAM is not tied to interconnections but rather focuses instead on all actions it can take outside of its

programs and interconnection process to influence LDV adoption.

Q. Should the LDV Emissions EAM be eliminated?

A. No. The EAM is an important mechanism that drives the Company to continue its innovative efforts to advance EV adoption, aligned with CLCPA goals, and therefore should be maintained. This is especially critical given recent headwinds in EV adoption. In the Company's service territory, EV market share declined from 12% in Q4 2024 to 10% in Q1 2025, with Tesla registrations in April 2025 falling to less than half of the 2024 monthly average (Atlas Public Policy, EValuateNY, https://atlaspolicy.com/evaluateny/). Compounding this, recently introduced tariffs will raise prices, and proposed federal legislation could phase out key EV tax credits by 2026 and introduce new fees, potentially dampening consumer demand. According to a recent analysis from Harvard University's Salata Institute, the single most consequential policy change impacting EV adoption is the elimination of the Inflation Reduction Act's EV tax credits. Removing these incentives for new, used, and commercial EV purchases significantly raises the cost of EV adoption, resulting in a sharp decline in EV sales.

(Buckerg, Elaine, Cole, Cassandra. Trump EV Policy Overhaul: What will Happen to EV Adoption, Emissions, and the Fiscal Balance? Policy Brief, March 18, 2025 https://salatainstitute.harvard.edu/wp-content/uploads/2025/03/Policy-Brief_Trump-EV-Policy-Overhaul.pdf). In terms of impacts to EV price from tariffs, according to analysis by Bloomberg New Energy Finance, a 25% tariff on imported EVs could drive up the price of the most affordable models from around $32,000 to $40,000 — an $8,000 increase that could put EVs out of reach for many consumers. The increased cost could shrink the addressable market for imported EVs by as much as 58% (Auto Tariffs Could Cut US Market for Imported EVs in Half: React, Bloomberg New Energy Finance, April 25, 2025). In this context, the Company's role in boosting EV adoption through all means possible is more important than ever to sustain momentum and build public confidence in EV adoption.

Q. Does the City make any other arguments regarding the LDV EAM?

A. Yes. The City stated that the Company's reference to the same activities for multiple incentives suggests that it is receiving multiple incentives for the same efforts.

Specifically, this pertains to efforts related to LDV Emissions EAM overlapping with EV Make Ready proceeding, Residential Managed Charging, and Transportation Interconnection EAMs.

Q. Please comment on the City's position.

A. The Company has undertaken several targeted efforts designed to meet the targets of the LDV Emissions EAM. These efforts include a robust marketing and outreach campaign to promote EV adoption, partnering with Westchester municipalities to host educational events and provide resources for fleet electrification, submitting public comments in favor of initiatives such as New York City's Green Rides Initiative, and the Environmental Protection Agency's proposed emissions regulations. The Company implemented a "speed bonus" to encourage the timely installation of Level 2 charging plugs at sites that are service adequate, with the bonus awarded directly to the applicant. Recognizing the need to expand public direct current (DC) fast charging, the Company launched a limited-time promotion that offered additional incentives for public projects comprising six or more chargers. This initiative sparked a surge in large-scale public DCFC applications seeking to install projects

across the Company's service territory — many of which had previously been considered financially unviable without the promotion offer.

If these efforts have the effect of supporting other Company programs related to EV adoption, that does not justify eliminating this EAM nor does the City's suggestion that the Company is receiving multiple incentives for the same efforts. Finally, we note that the City is now proposing to eliminate the Residential Managed Charging and Transportation Interconnection EAMs. Removing all these EAMs, along with the LDV Emissions EAM, would effectively remove any incentives supporting LDV electrification.

Q. Please describe Senator Jackson's Position.

A. Senator Jackson argued that the Company should not be compensated for outcomes beyond its control.

Q. Does the Company agree?

A. No. As explained above, the Company continues to work to bring EVs, LDVs and the like into the service territory.

Bus Emissions

Q. Please describe the Bus Emissions EAM.

A. The Bus Emissions EAM incentivizes the Company to accelerate adoption of electric buses in its service

territory thereby reducing lifetime CO2-equivalent (CO2e) emissions. This includes public buses, school buses, and other buses used for local or regional transportation. Electric bus adoption directly leads to a reduction in CO2e emissions because CO2e emissions associated with the electricity used by electric buses are lower than CO2e emissions from gasoline- or diesel-based internal combustion engine buses.

Q. Describe Staff's position on the Bus Emissions EAM.

A. Similar to their arguments opposing Transportation Interconnection and Light-Duty Vehicle Emissions EAMs, Staff recommended eliminating the Bus Emissions EAM, arguing the Company's business model already supports increased EV adoption. Staff asserted that the primary purpose of EAMs is to incentivize utilities to pursue outcomes that deviate from the traditional cost-of-service ratemaking model, and thus Staff deemed this incentive unnecessary.

Q. Please comment on Staff’s position.

A. The electric bus market is still in its early stages of development and faces substantial challenges that may hinder progress. Having a utility directly help to move the market now is more important than ever.

First, the U.S. Environmental Protection Agency's Clean School Bus Rebate Program effectively closed in January 2025. Recent changes in federal policy led to the freezing of a portion of the funding, including $226 million in New York State and $125 million in Con Edison's service area, leaving many school districts uncertain about the status of their grants.

Second, the MTA's capital plan — including its ambitious effort to transition to a fleet of electric transit buses — now faces uncertainty related to funding through MTA's Congestion Pricing Program (DiNapoli Report Assesses MTA's Capital Needs and Funding Scenarios, September 12, 2024, https://www.osc.ny.gov/press/releases/2024/09/dinapoli-report-assesses-mtas-capital-needs-and-funding-scenarios).

Third, compounding these uncertainties is the high upfront cost of electric buses relative to their diesel counterparts. Proposed tariffs on imported components, including batteries, could further increase costs. Additionally, the potential rollback of federal tax credits, ranging from $7,500 for commercial EV under 14,000 pounds and up to $40,000 for heavier EVs, will

place additional strain on transit and school district budgets that could thereby slow adoption.

Q. Do you agree with Staff's position to eliminate the Bus Emissions EAM?

A. No. Charging infrastructure remains one of the most significant barriers to bus electrification, and this EAM will encourage Company innovation to support bus fleets with creative solutions to overcome barriers to electrification. An example of a challenge is that many school bus contractors lease their sites or park their vehicles on city streets, away from their depots. Similarly, the MTA states in its 2022 Zero-emission Bus Transition plan that "existing depot space may not be sufficient to accommodate all new equipment" (2024 MTA Zero-Emission Transition Plan, https://www.mta.info/document/138261). These challenges require additional consideration in how charging is deployed and how vehicles are charged.

Furthermore, the Company disagrees that this EAM is not needed because of incentives inherent in the utility's traditional business model. The Company can accelerate EV bus adoption in some ways that are antithetical to incentives in its traditional business model. For

example, the Company's fleet advisory service can work with bus operators to right-size their charging infrastructure. Bus operators, especially early adopters of electric buses, often want to have more charging capacity than they may need. This behavior would be aligned with the Company's traditional business model. However, this new Bus Emissions EAM would encourage the Company to work closely with bus operators and advocate for innovative solutions (such as load management software) that could allow a bus operator to optimize their charging capacity and adopt more electric buses using the same charging infrastructure.

Q. Do other parties have proposals on the Bus Emissions EAM?

A. Yes. The City.

Q. Please describe the City's position.

A. The City states that the Company's proposal enables shareholders to receive rewards based on the actions of external entities, even if the Company makes no effort to promote or support additional electric bus purchases by those parties.

Q. Please respond to the City's position.

A. The Company objects to any suggestion that it is doing or will do "absolutely nothing" to encourage the adoption of

electric buses (City Policy Panel, p. 80). Consistent with the Company's responses to intervenors' opposition to the LDV Emissions EAM, the Company plays an important role in increasing the number of electric buses in its service territory, can influence the rate of electric bus adoption, and has made efforts to do so. For example, during the EPA's third round of Clean School Bus Program funding, the Company successfully advocated for New York City to be evaluated at the sub-district level, resulting in an award of 163 electric school buses instead of 25. Additional efforts include convening and coordinating multi-stakeholder groups; organizing major bus vendor meetings; presenting to school bus contractors; providing guidance to bus operators for charging needs; piloting site assessments for electric vehicle feasibility; working with bus operators to optimize charging infrastructure; and supporting innovative solutions like load management software. The City's assertion that the Company could be rewarded based on actions of external entities does not justify eliminating it.

Q. Does this conclude your rebuttal testimony?

A. Yes.